EDMOND DE ROTHSCHILD

INVESTMENT CORNER

Investment Ideas & Implementation

March-April 2019

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EDMOND DE ROTHSCHILD, BOLD BUILDERS OF THE FUTURE

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INVESTMENT HIGHLIGHTS

OVERVIEW

FACTS

Growth forecasts continue to trend lower

Inflation remains contained

Major central banks in dovish mode

Equity markets consolidate after strong YTD performance

Trade dispute, Brexit, rise of populism ongoing headwinds

ANALYSIS

2019 global growth estimates continue to be lowered with the OECD forecasting 3.3% versus 3.5% led by a large downward revision in the Eurozone. ECB dropped its GDP forecasts to 1.1% from 1.7%. China lowered its official growth target to 6.0%-6.5% from last year's 6.5% rate.

Given the above, alongside contained inflation, central banks' rhetoric has become more dovish. After 9 rate hikes, the Fed is no longer on auto-pilot, emphasising patience and data dependency. The ECB introduced another round of TLTRO and extended its "rates on hold" policy till year end. China has unveiled a number of fiscal stimulus packages. Both the BoJ & SNB are on hold and the BoE after a 25 bps rate hike in August now in a wait & see mode focusing on Brexit developments.

The month of March has overall been a period of consolidation for equities after having posted strong gains in both January and February. Hope of a trade deal, dovish central banks and receding fears of a recession have been supporting factors for the market.

Whether equities are set to move higher will also depend on Q1 earnings and company guidance with the bulk of earnings release as of mid April. 2019 Y/Y% EPS estimates for the MSCI World index have already been slashed over the past couple of months with the latest growth forecasts at 4.7%. We continue to favour US equities given the better growth outlook focusing on quality and growth.

EQUITY INVESTMENT IDEAS

- **Thematic Investing:** EdR Big Data – EdR Cyber Security Certificate
- **High Quality :** EdR High Quality Low Debt Certificate - Morgan Stanley Global Brands

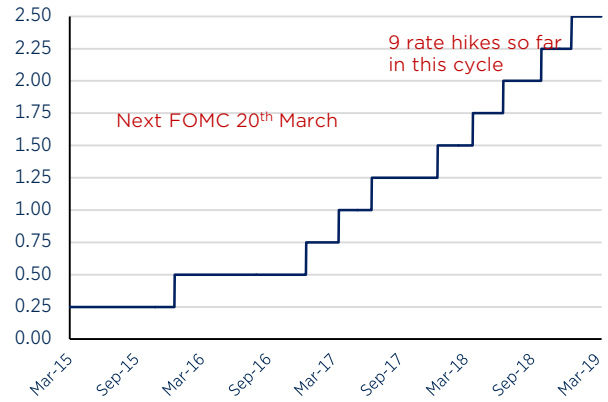
MACRO OVERVIEW

MACRO OVERVIEW

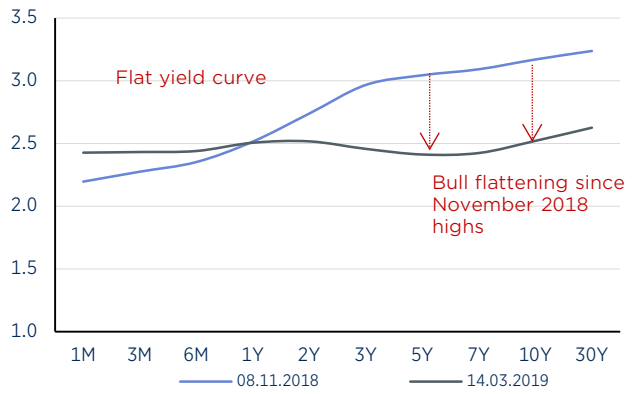
USA & THE FED

- Although still at a solid rate, economic momentum has slowed as the trade war has weighed on the manufacturing sector (weak exports & fall in business investment) and higher rates has weighed on the housing market. On the other hand, domestic demand has held relatively steady supported by the tax cuts, a strong job market & rising wages.
- Headline Inflation has come off its July cycle high led by the drop in oil prices in the second half of last year. The core rate has held steady despite rising wages.
- The Fed rhetoric has become much more dovish in light of the global growth slowdown & contained inflation, emphasising the need to be patient & flexible regarding the future path of monetary policy. There has even been talk of switching to an "average" inflation target and slowing or even ending the reduction of its balance sheet.
- At the upcoming March 20th meeting, the Fed is expected to keep policy on hold and will release its updated projections on growth and inflation which could well see a shift down in the dot plot (the rate projections of the 12 members).

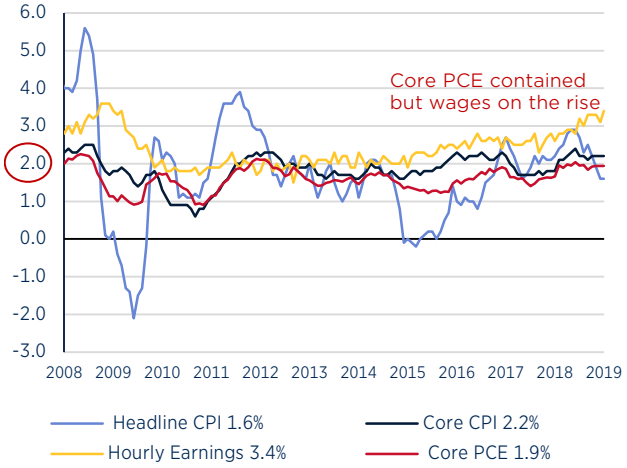
Fed Funds



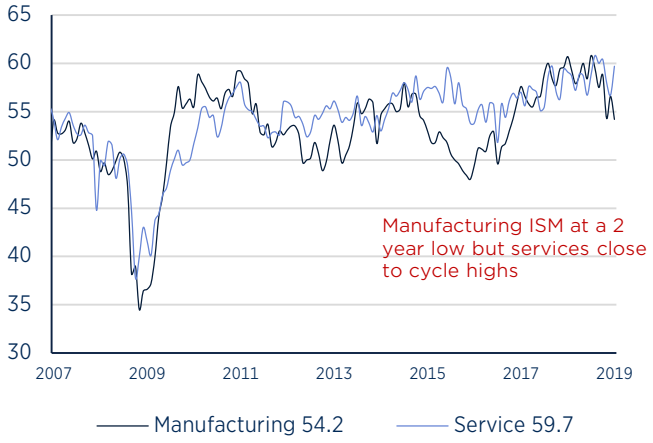
US Yield Curve



Inflation Y/Y%



Purchasing Managers Index (February)



Source: EdR, Bloomberg

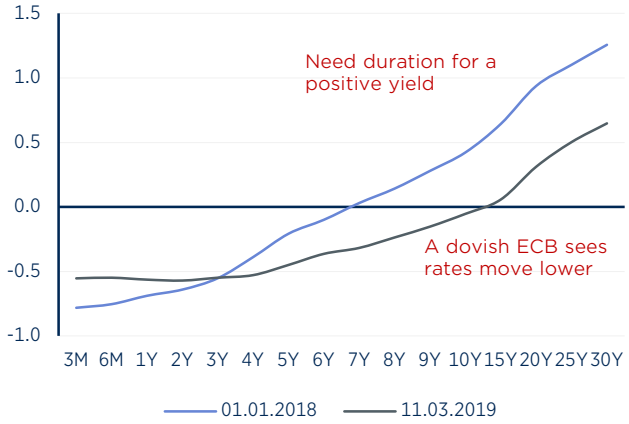
MACRO OVERVIEW

EUROZONE & THE ECB

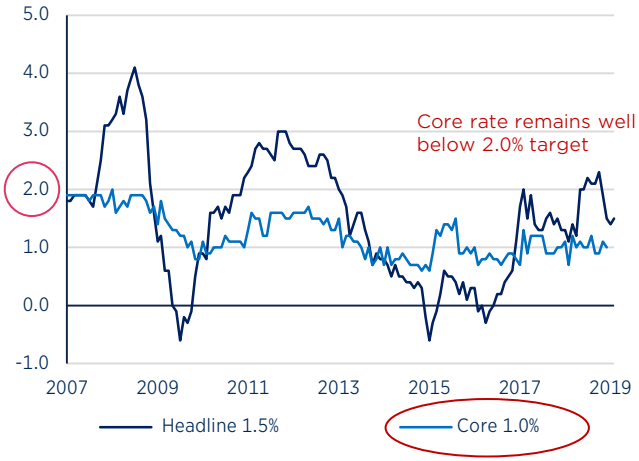
- Data has shown some signs of stabilisation but growth momentum remains low. The German manufacturing sector is close to recession and Italy is in outright contraction.
- Headline inflation has moved down in line with the fall in oil prices in H2 2018. The core rate has failed to move much above 1.0% remaing well below the ECB's 2.0% target.
- The ECB at its March meeting revised downwards 2019 GDP growth by 60 bps to 1.1% and highlighted further downside risks. This led the ECB to announce TLTRO3 (allowing existing exposures to be rolled over for 2 years). Furthermore, the time commitment to unchanged policy rates was extended by 3 months to the end of 2019.
- At present there is little to suggest improvement in the growth outlook. Much will depend on the outcome of trade negociations, Brexit and populist movements within the region.

3-Month Euribor

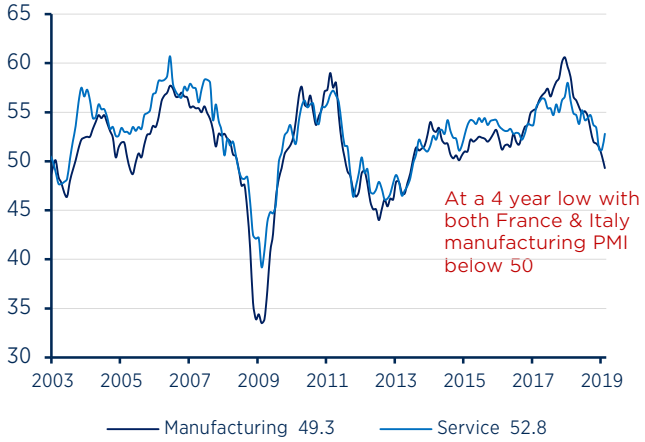
German Bund Yield Curve



Inflation Y/Y%



Purchasing Managers Index (February)



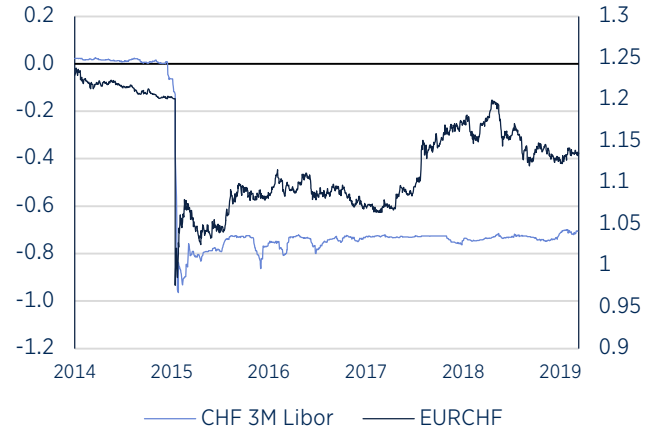
Source: EdR, Bloomberg

MACRO OVERVIEW

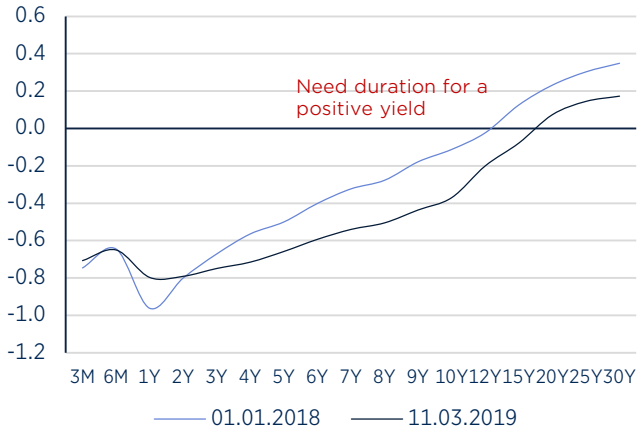
SWITZERLAND & THE SNB

- After having been relatively steady in the first half of 2018, growth slowed sharply in H2 with 2018 GDP growth at 1.5% versus 2.6% in 2017.
- The weak performance does not come as a surprise given Switzerland is such an open economy with exports of goods ~45% of GDP and its major export market the Eurozone witnessing a major slowdown.
- Despite a low unemployment rate at 2.4%, consumer confidence and spending has failed to improve largely due to a lack of wage gains.
- Inflationary pressures remain muted with the core rate well below target.
- As a result the SNB is in no need to change its monetary policy stance and renewed FX intervention cannot be excluded especially if it approaches the psychological 1.10 level versus the Euro.

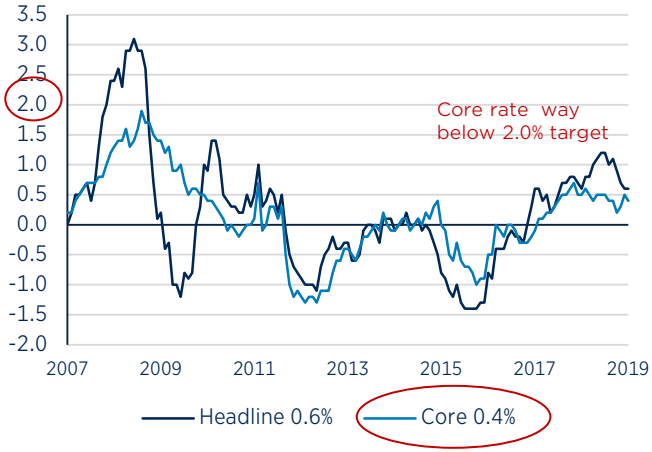
3-Month LIBOR & EUR/CHF



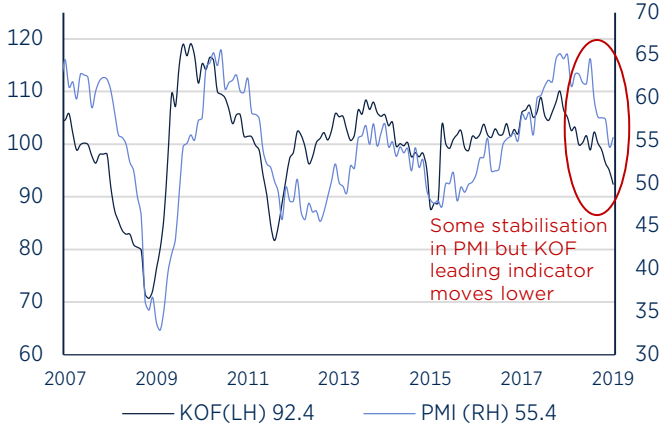
Swiss Yield Curve



Inflation Rate Y/Y %



Leading Indicators (February)



Source: EdR, Bloomberg

EQUITIES
THEMATIC INVESTING

BIG DATA

EXTRACTING VALUE

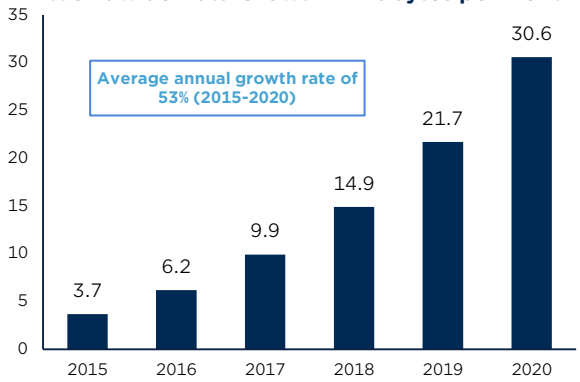
- Data is the key engine to create value, by enabling a company to know better their customers, enhance efficiency and develop new and differentiated offerings. Proprietary data-screening by traditional sectors enables value creation. 82% of CEOs surveyed* believe that harnessing data analytics will alter their competitive landscape.

  Source: *Cap Gemini Survey

- The theme is not dependent on a macro cycle, but more and more a strategic imperative which implies a structural change in ways of doing business.

- Data generation has an unabated exponential growth profile. We are at the threshold of stakeholders awareness for the potential of data usage.

Worldwide Data Growth – Exabytes per Month



Source: CISCO VNI

The 5 Vs of Big Data

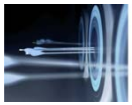
The flow of Big Data

Data Collection

Infrastructure, sensors, storage

Data Interpretation

Software & Analytics



Using data to act

Data Users

Big Data involved in all aspects of life

EDR BIG DATA

EXTRACTING VALUE

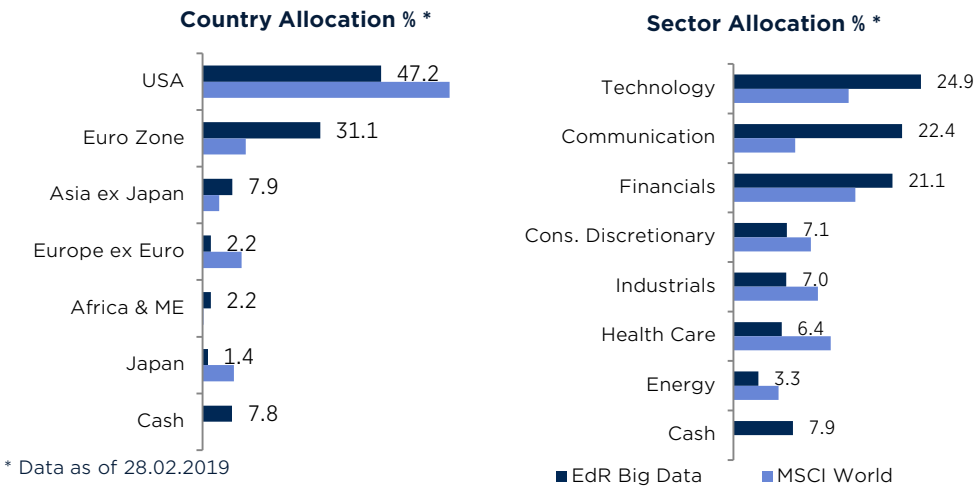
Strategy **Global**

An innovative approach based on the synergy of three complementary performance drivers: data collection (infrastructure, sensors, storage) data interpretation (software & analytics) and those using the data to act (data users). A pioneering, pragmatic and conviction driven fund providing investors access to a structural growth theme, including up to 50% exposure to the non-technology sector.

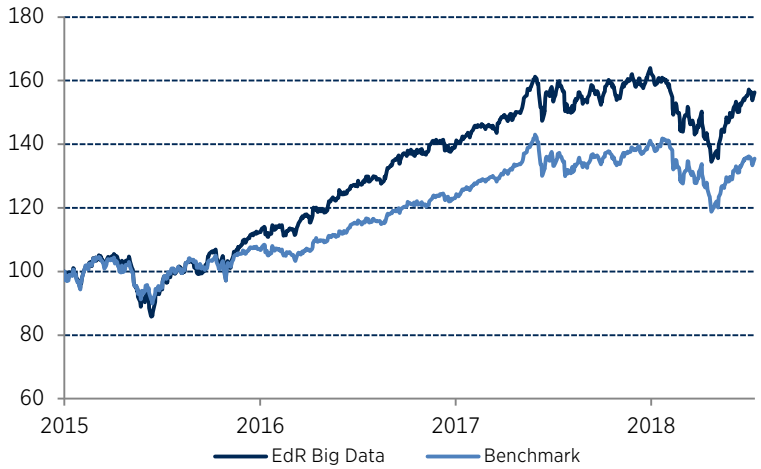
Fund Characteristics	
AUM (MM)	$509.9
Liquidity	Daily
Number of Holdings	50
Inception	31.08.2015
Benchmark	MSCI World NTR

TOP 10 Holdings 28.02.2019	%		%
Alphabet	5.9	Ranstand Holding	3.5
IBM	4.0	AXA	3.5
Criteo	4.0	Schlumberger	3.3
NASDAQ OMX Group	3.8	JP Morgan Chase	3.3
Orange	3.6	Bank of America	3.0

Performance %	Fund	Benchmark
YTD 12.03. 2019	12.89	10.51
1 Year	-2.61	-1.78
3 Year	56.93	35.11
Volatility 1yr	12.94	11.94
Max Drawdown 1yr	-17.98	-18.06



* Data as of 28.02.2019



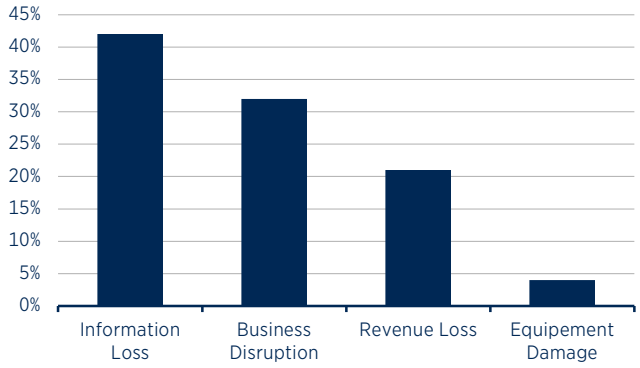
Source: EdR, Bloomberg

CYBER SECURITY

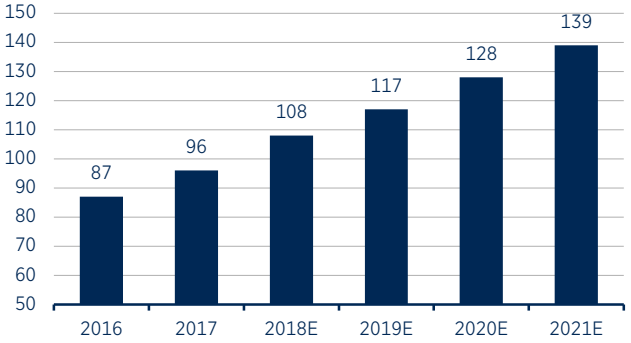
FIGHTING THE DANGERS OF DIGITALISATION

- With an increasingly connected world, attacks and data theft have been on a constant rise. The cost to the global economy is estimated between $400bn-$3tn for 2018 alone. A data breach for a company can cost up to millions of dollars.
- The threats from web attacks, malware, ransomware, social engineering and phishing, must be fought with more and more sophisticated technology, Regulations are on the rise but according to ITU's Global security index report, only 38% of countries have a published cyber security strategy. The champion to date is the EU with the introduction of the General Data Protection Regulation (GDPR) obliging companies to invest in cyber security solutions.
- The more the world becomes digitalised the greater the need to invest in cyber security. It is estimated that in 2018 companies worldwide spent on average only 7% of their IT budget on cyber security implying the growth potential for this theme is far from being exhausted

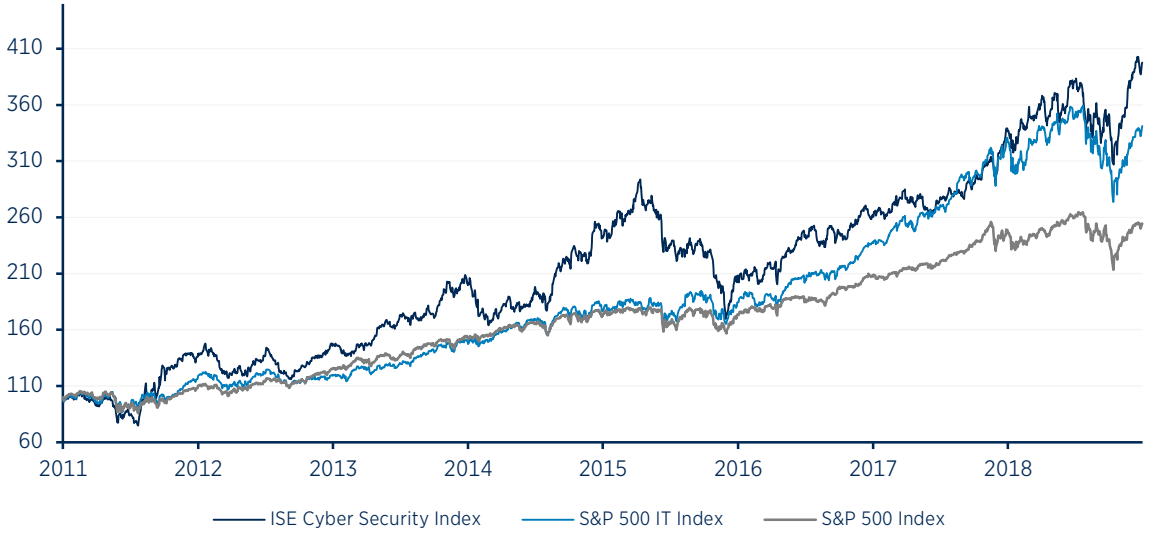
Breakdown of visible costs caused by cyber attacks %



Cyber Security Spending USD bn



Source: SG/ Gartner



Source: Societé Générale, Bloomberg

CYBER SECURITY CERTIFICATE

FIGHTING THE DANGERS OF DIGITALISATION

Strategy **US Technology**

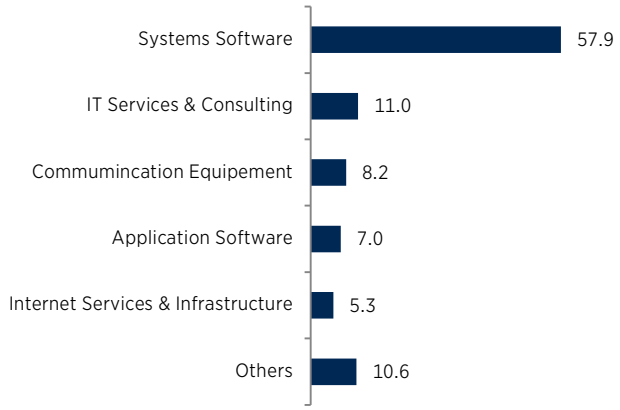
An actively managed certificate with a selection of the world's best cyber security-related stocks. The investment universe derives from the companies included in the ETFMG Prime Cyber Security ETF – HACK US, accounting for approximately 90% of the basket components. In addition, 10% of the certificate is allocated to Semiconductors, Software and IT Services: these subsectors are not part of the HACK ETF but are integral, in our opinion, to the cyber security theme.

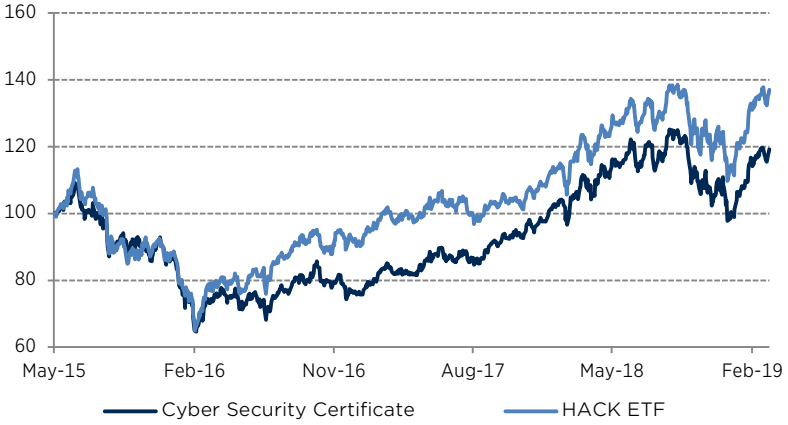
Fund Characteristics	
AUM (MM)	$12.0
Liquidity	Daily
Number of Holdings	38
Inception	06.05.2015
Benchmark	ETFMG Prime Cyber Security ETF

TOP 10 Holdings 28.02.2019	%		%
CyberArk	7.5	Splunk	5.0
Symantec	5.9	Cisco	4.7
Qualys	5.1	Proofpoint	4.4
Science Applications	5.0	Fortinet	4.2
Palo Alto Networks	5.0	Sailpoint	4.1

Performance %	Fund	Benchmark	S&P 500
YTD 12.03. 2019	18.85	19.14	12.81
1 Year	8.28	11.94	3.87
3 Year	44.09	39.17	23.38
5 Year	60.24	74.35	48.11
Volatility 1yr	8.86	15.41	
Max Drawdown 1yr	-8.18	-19.49	

Sector Allocation % *





* Data as of 28.02.2019

Source: EdR, Bloomberg

EQUITIES
HIGH QUALITY

QUALITY LOW DEBT CERTIFICATE

25 SELECTED HIGH QUALITY US STOCKS

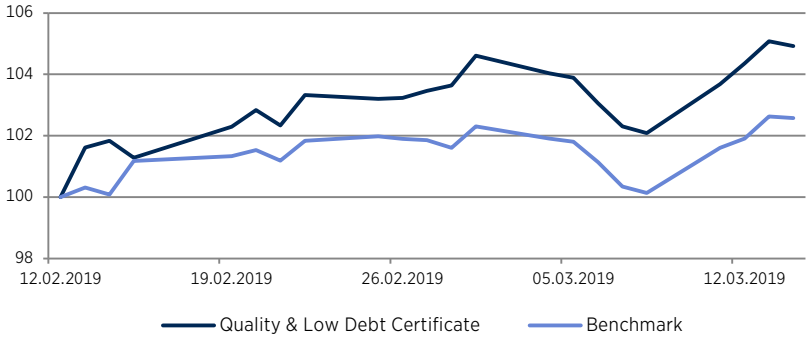
- Over the past decade US corporate leverage has surged by over 80%. From $4.9 trillion in 2007 to over $9.0 trillion in 2018. Companies took advantage of low rates both to grow their businesses (M&As & investment) and reward shareholders (buybacks & dividends). Although the 2017 corporate tax cuts has seen companies spend a much larger percentage of incremental dollars on debt reduction, the debt load remains extremely high.

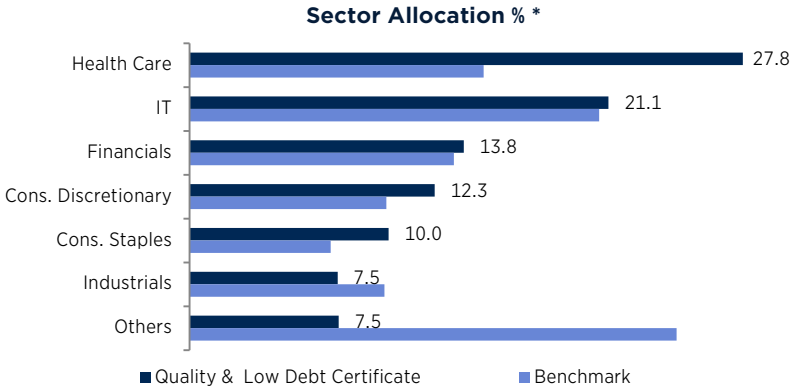
- Given the inherent risks of high debt and an environment where the outlook for growth & earnings remains highly uncertain investing in quality stocks should be given high priority. These companies are able to weather economic cycles thanks to their strong balance sheets, their product offering and market leadership.

- To select these companies we have used EdR's priority E-quant multi–factor model which enables us to screen and rank "quality " and "value" creating companies based on the longitude of business profitability and financial strength.

Fund Characteristics		
AUM (MM)	$58.0	
Liquidity	Daily	
Number of Holdings	25	
Inception	12.02.2019	Maturity 3 years
Benchmark	S&P 500 NTR	

Performance %	Certificate	Benchmark
Since Inception to 15.03.2019	5.98	3.09





Source: EdR, Bloomberg

MORGAN STANLEY GLOBAL BRANDS

HIGH QUALITY COMPANIES

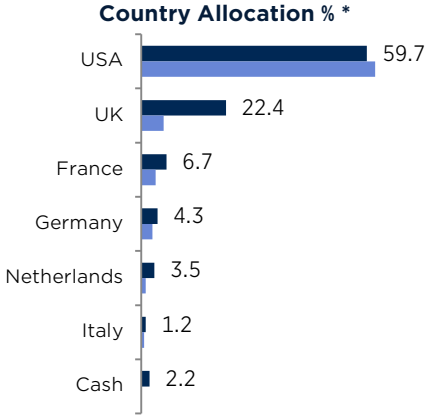
Strategy **Global Equities**

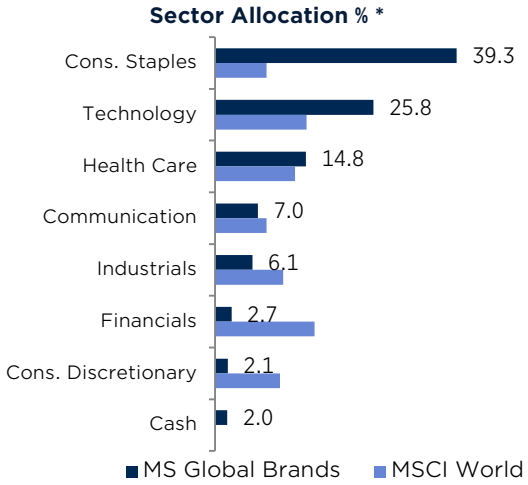
The investment team belief is that high-quality companies generate superior returns over the long term. Such companies are typically built on dominant market positions, underpinned by powerful, hard to replicate intangible assets that can generate high, unlevered returns on operating capital and strong free cash flows. Other characteristics are recurring revenue streams, pricing power, low capital intensity and organic growth.

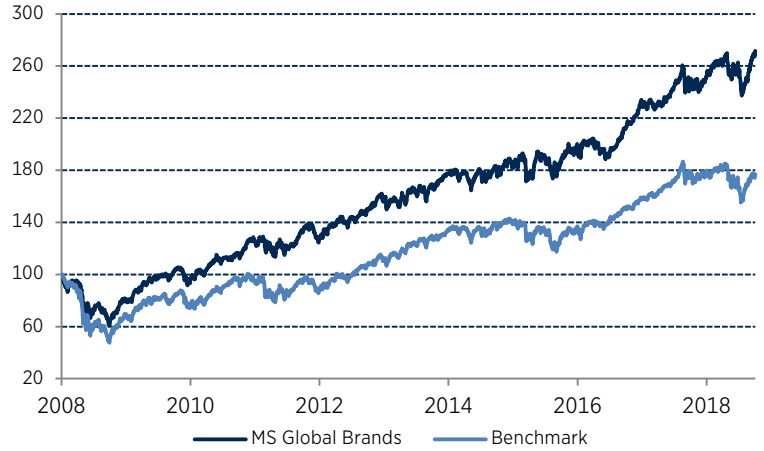
Fund Characteristics	
AUM (MM)	$10'700
Liquidity	Daily
Number of Holdings	28
Inception	30.10.2000
Benchmark	MSCI World NTR
Morningstar	★★★★★

TOP 10 Holdings 28.02.2019	%		%
Reckitt Benckiser	8.1	Visa	4.8
Twenty-First Century Fox	7.0	Accenture	4.4
Microsoft	7.0	SAP	4.3
Philip Morris	6.0	Baxter International	3.9
Unilever	5.0	Coca-Cola	3.7

Performance %	Fund	Benchmark
YTD 12.03. 2019	11.47	10.98
1 Year	8.55	-1.37
3 Year	43.33	35.69
5 Year	62.93	38.97
Volatility 1yr	11.70	11.95
Max Drawdown 1yr	-12.11	-18.06







* Data as of 31.01.2019

Source: Morgan Stanley, Bloomberg

STRUCTURED PRODUCTS

DEFENSIVE PRODUCT ON GLOBAL INDICES

UPSIDE EXPOSURE COUPLED WITH LIMITED DOWNSIDE EXPOSURE

Investor's Profile

- Invested on the **short-term**
- Invested in **EUR or USD or CHF** (No FX currency risk)
- **Slightly positive view on the indices**

Structured Solution

- Maturity: **December 31st, 2019**
- Capital protection: **None**
- Currency: **EUR** or **USD** or **CHF** (No FX currency risk)
- Underlying:
  - **S&P 500 Index** (SPX)
  - **Euro Stoxx 50 Index** (SX5E)
- Upside exposure: **100% participation up to the Cap level**
- Downside exposure: **a participation lower than 100%** (see table on the right side) in order to absorb part of the negative performance at maturity (if any)

Scenario at maturity

Expiration: December 31st, 2019

Underlying final level > Initial level ?

- **YES** — Investor receives his initial capital and the positive performance **= Capital + positive performance**
- **NO** — Investor receives the capital adjusted by the negative performance ⇒ **Redemption = Capital + (participation x negative performance)**

Indicative levels

Underlying	Currency	Cap 102%	Cap 103%	Cap 105%	Cap 110%
		Downside Exposure			
S&P 500 Index (SPX)	USD	0%	15%	30%	65%
	EUR	55%	65%	Alternative pricings on Request	
	CHF	65%	75%		
Euro Stoxx 50 Index (SX5E)	USD	0%	5%		
	EUR	35%	40%		
	CHF	40%	45%		

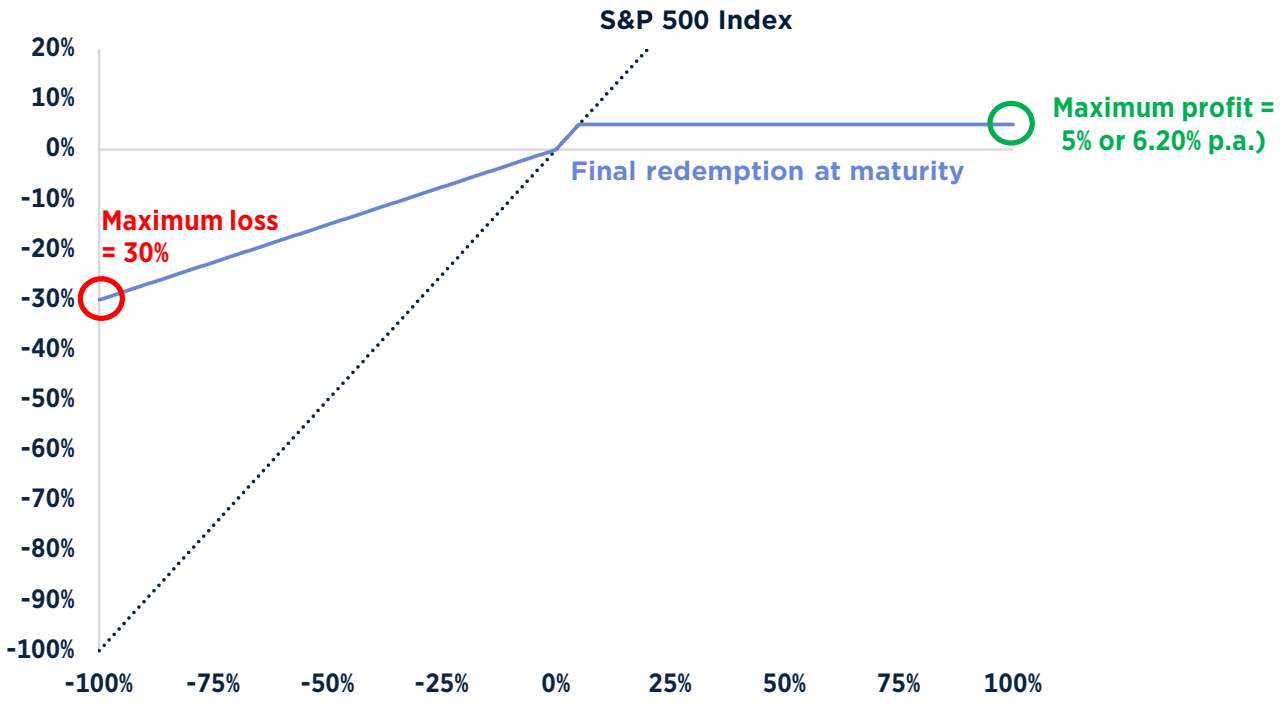
DEFENSIVE PRODUCT ON GLOBAL INDICES

UPSIDE EXPOSURE COUPLED WITH LIMITED DOWNSIDE EXPOSURE

Simulation for S&P 500 Index - USD - Cap 105% - 30% Downside version

S&P 500 final performance at maturity	-100%	-30%	-20%	-5%	0%	2%	5%	6%	10%
Redemption at maturity	-30%	-9%	-6%	-1.5%	100%	102%	105%	105%	105%

Payoff



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